Calendar Line 1

Case Name: *Nguyen v. Davis, et al.*
Case No.: 24CV445271

Defendant Old Republic Title Company ("Old Republic" or "Defendant") demurs to the Amended Cross-Complaint ("ACC") filed by Defendants/Cross-Complainants David Davis and Marquette L. Davis (collectively, the "Davises" or "Cross-Complainants").

I. Background

A. Factual

According to the allegations of the ACC, on September 11, 2022, the Davises entered into a real estate purchase and sale agreement with Defendant My Thao Nguyen the ("Seller") to purchase the real property located at 15822 Rica Vista Way in San Jose (the "Property").[1] (ACC, ¶ 12.) The Seller was represented by real estate broker and defendant Zaid Hanna, and the Davises were represented by real estate broker and defendant Erskine Sankey. (*Id.*, ¶¶ 3, 5.) Old Republic was responsible for generating the title insurance policy for the Property while Shelley Kirk, Old Republic's Vice President, Branch Manager and Escrow Officer, served as the escrow officer supervising escrow for the sale of the Property. (*Id.*, ¶ 2.)

On October 4, 2022, Old Republic generated a second updated preliminary title report for Mr. Hanna ("Title Report"). (ACC, ¶ 16, Exhibit 5.) The report stated that fee ownership was vested in "My Thao Nguyen, a single woman" and that the Seller obtained their interest from "Edward Frye, a married man." (*Id.*, ¶ 17.) A grant deed recorded on December 10, 2021, confirmed the foregoing. (*Id.*, ¶ 18.) Old Republic issued a title insurance policy to the Davises on October 24, 2022. (*Id.*, ¶ 22, Exhibit 8.) That same day, Old Republic recorded a series of documents, including a quit claim deed wherein Sue Li Nguyen, the Seller's purported spouse, conveyed all her interests in the Property to the Seller. (*Id.*, ¶ 26.) The Davises allege that it is unclear how Su Li Nguyen gained any interest in the Property that would allow her to release said interest and that several irregularities appeared on the quit claim deed. (*Id.* ¶¶ 26-28.) Old Republic allegedly failed to note the aforementioned irregularities and failed to alert the Davises of any abnormalities relating to the quit claim deed. (*Id.*, ¶ 29.) On October 24, 2022, Old Republic also recorded a grant deed to vest ownership in the Davises, and this document also contained several irregularities that it failed to notice and notify the Davises of. (ACC, ¶ 35.)

In reliance on the closing of the Property, Ms. Davis retired from her job on November 30, 2022, and received, among other benefits from her employer, valuable restricted stock units that she would have continued to accrue had she continued her employment. (ACC, ¶ 38.) The Davises also expended funds in engaging engineers, designers, and contractors to help develop the Property as they desired, in addition to paying property taxes in excess of $18,000. (*Id.*, ¶¶

[1] In the underlying Complaint, Plaintiff Trang Thuy Nguyen ("Plaintiff") alleges that she is the victim of a "vacant property scam" in which an alleged fraudster posed as the owner of the Property and sold it to the Davises. Plaintiff maintains that the fraudster did not hold valid title to the Property and could not convey proper title to the Davises.

37-43.) The Davises were ultimately informed that there was a defect in the grant deed that provided them with title to the Property. (*Id*., ¶ 44.)

B. Procedural

This action was initiated by Plaintiff with the filing of the Complaint on August 15, 2024. On October 18, 2024, Mr. Hanna filed a Cross-Complaint against Old Republic. The Davises filed their own Cross-Complaint on December 4, 2024, and the operative ACC on February 26, 2025, asserting the following causes of action: (1) negligence (against Old Republic, Hanna and Sankey); (2) unjust enrichment (against Trang Thuy Nguyen); (3) intentional misrepresentation (against Zaid Hanna and My Thao Nguyen); (4) negligent misrepresentation (against Old Republic, Hanna and Sankey); (5) breach of fiduciary duty (against Old Republic and Sankey); (6) lost profits (against Old Republic, Hanna and Sankey); (7) past and future earnings (against Old Republic, Hanna and Sankey); (8) indemnification, defense and contribution (against Old Republic and Sankey; and (9) declaratory relief (against all cross-defendants).

On April 1, 2025, Old Republic filed the instant demurrer to each of the claims asserted against it in the ACC, i.e., the first, fourth, fifth, sixth, seventh, eighth and ninth causes of action, on the ground of failure to state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).) The Davises oppose the demurrer.

II. Old Republic's Demurrer

A. Legal Standard

"The party against whom complaint or cross-complaint has been filed may object, by demurrer or answer as provided in [Code of Civil Procedure s]ection 430.30, to the pleading on any one or more of the following grounds: ... (a) the court has no jurisdiction of the subject of the cause of action alleged in the pleading, (e) The pleading does not state facts sufficient to constitute cause of action, (f) The pleading is uncertain." (Code Civ. Proc., § 430.10, subds. (a), (e) (f).) demurrer may be utilized by "[t]he party against whom complaint has been filed" to object to the legal sufficiency of the pleading as a whole, or to any "cause of action" stated therein, on one or more of the grounds enumerated by statute. (Code Civ. Proc., §§ 430.10, 430.50, subd. (a).)

The court treats demurrer "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) "A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiffs ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.) In ruling on a demurrer, courts may consider matters subject to judicial notice. (*Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 743, 751.) Evidentiary facts found in exhibits attached to complaint can be considered on demurrer. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.)

B. Discussion

1. *Negligence (First Cause of Action) and Negligent Misrepresentation (Fourth Cause of Action)*

In the first cause of action, the Davises alleges that Old Republic had a duty to exercise due care in the performance of a title search for the Property, the recordation of the quit claim deed and grant deed, as well as a duty to ensure the accuracy of its reports, and breached those duties by failing to notice the various irregularities in the chain of title and related documents. (ACC, ¶¶ 51-55.) In the fourth cause of action, the Davises allege that Old Republic had no reasonable grounds for believing the representations it made to them about the ownership status of the Property in the title reports it issued and the title insurance policy because if they believed the representations, it was because they failed to investigate chain of title. (*Id.*, ¶ 84.)

Old Republic maintains that its demurrer to these claims should be sustained because it is well settled under California law that no claims for negligence can be stated based on alleged inaccuracies in a title insurance policy or preliminary title report. The Court agrees.

First, title insurance is "a contract to indemnify against loss through defects in the title or against liens or encumbrances that may affect the title at the time when the policy is issued." (*Elysian Investment group v. Stewart Title Guaranty Co.* (2002) 105 Cal.App.4th 315, 320.) As opposed to other types of insurance, title insurance is *not* forward looking, and insures only against losses resulting from differences between actual title and record title as of the date the title is issued; the policy does not guarantee the state of title. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 41.) Because records pertaining to real property are complex and encumbrances can be missed even through the most thorough search, title insurance is "an acknowledgment that errors may have been made." (*Siegal v. Fidelity Nat. Title Ins. Co.* (1996) 46 Cal.App.4th 1181, 1191.) The policy operates to indemnify the insured against losses sustained in the event that a specified contingency occurs, but it does *not* constitute a representation that that contingency will not occur. (*Fidelity National Title Ins. Co. v. Miller* (1989) 215 Cal.App.3d 1163, 1175 (*Fid. Title Ins. Co.*).) Accordingly, when such contingency occurs, "no action for negligence or negligent misrepresentation will lie against the insurer based upon the policy of title insurance alone." (*Lawrence v. Chicago Title Ins. Co.* (1987) 192 Cal.App.3d 70, 74-75.)

Next, a "preliminary report" is defined under the Insurance Code as a report that is "furnished in connection with an application for title insurance and [is an offer] to issue a title policy to the stated exceptions set forth in the report[s] and such other matters as may be incorporated by reference therein." (Ins. Code, § 12340.11.) It is expressly *not* an "abstract of title," which is defined as "a written representation, provided pursuant to a contract … *intended to be relied* upon by the person who has contracted for the receipt of such representation, listing all recorded conveyances, instruments or documents which, …, impart constructive notice with respect to the chain of title to the real property described therein." (Ins. Code, § 12340.10, emphasis added.) Historically, case law held that a preliminary title report was the equivalent of an abstract of title and that a title insurer could be liable for its failure to list all recorded encumbrances in a preliminary title report. (*Southland Title Corp. v. Superior Court* (1991) 231 Cal.App.3d 530, 535.) However, in 1981, the Legislature enacted various statutes to make a formal distinction between a preliminary title report and an abstract of title; from that point forward, the former would no longer be treated or considered to have the legal consequence of the latter. (*Id*. at 536.) This distinction was made given that a preliminary title search is performed by the insurer solely for the purpose of seeking to evaluate its underwriting decision in issuing the policy, and *not* for the benefit of the insured. (*Fidelity National Title Ins. Co. v. Miller, supra,* 215 Cal.App.3d at 1175.) Subsequently, in *Southland Title Corp.*, *supra*, the court held that the negligent preparation of a preliminary title report is *not* actionable; no reliance can be placed on such a report to show the condition of title.

Based on the foregoing, it seems clear that the Davises *cannot* maintain their negligence-based claims against Old Republic to the extent they are predicated on alleged inaccuracies regarding the Property's title in the preliminary report and the title insurance policy. Notably, in their opposition, the Davises do not rebut any of the aforementioned case law or provisions of the Insurance Code that prohibit tort claims based on purported inaccuracies in these items. Instead, they insist that they can maintain their claims for negligence and negligent misrepresentation because Old Republic performed escrow functions in addition to title functions in their transaction. But the Davises cite no authority in support of this proposition, i.e., that because a title insurer performs both title and escrow functions title insurance law does not operate to bar their negligence claims. As Old Republic notes in its reply, it is often the case that a title company - like Old Republic - "may handle both escrow and title functions for a transaction" and the "case decisions and enacted statutes *have effectively separated those two functions*." (2 Cal. Real Estate § 6:28, comment to fn. 15 (Miller & Starr 4th ed. June 2025) [emphasis added].)

> On the title side, the searching of title, the issuance of a preliminary report and the issuance of a title insurance policy are generally considered under a contract analysis and no agency is created between the underwritten title company (or the title insurer) and the insured. On the escrow side, a joint agency is created, but that agency is limited to strict compliance with the escrow instructions. In essence, because the title functions are generally performed for underwriting purposes relating to the ultimate issuance of a title insurance policy, they exceed the limited agency created by the escrow, and thus are considered separately.

(*Id*.; see *Vournas v. Fid. Nat. Title Ins. Co.* (1999) 73 Cal.App.4th 668, 670, 674-677 [stating that "Fidelity was the escrow holder and title insurer" and analyzing those duties separately]; *Villanueva v. Fid. Nat'l Title Co.* (2021) 11 Cal.5th 104, 111, 113 [same].) Thus, when title and escrow functions "are performed by the same entity, the liability and responsibilities are based on the particular function performed. The escrow agent is not responsible for making a title search, or for reporting or disclosing the condition of the title, or the contents of the insurance policy other than to assure that it complies with the buyer's instructions. Similarly, a title insurer is not responsible for assuring that the conditions of escrow have been satisfied[.]" (2 Cal. Miller & Starr Real Est. § 6:2 [citing cases].) As Old Republic explains, this separation of functions when the same company performs both escrow and title functions is legally significant because an escrow holder's knowledge regarding title (as an agent) in following instructions is imputed to the principle, but a title insurer's knowledge (as a non-agent) gained outside of those instructions is *not* imputed to the principle. (*Triple A Mgmt. Co. Inc. v. Frisone* (1999) 69 Cal.App.4th 520, 536, fn. 6 [imputing knowledge learned by escrow as agent in following instruction but not as a title insurer in performing title searches].

In short, the law is clear and unrebutted by the Davises in this regard; they cannot assert negligence-based claims against Old Republic due to purported inaccuracies in the preliminary report and title insurance. Accordingly, Old Republic's demurrer to the first and fourth causes of action on the ground of failure to state facts sufficient to constitute a cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

2. *Breach of Fiduciary Duty (Fifth Cause of Action)*

In the fifth cause of action, the Davises allege that Old Republic served as escrow holder and consequently owed a fiduciary duty to them to exercise reasonable skill and diligence in carrying out the escrow instructions to shepherd the parties towards closing the transaction. (ACC, ¶ 89.) They further plead that, "given the clear evidence of fraud," Old Republic "had a duty to further investigate the transaction to protect the parties in escrow" and breached the foregoing duties by failing to find and disclose the "irregularities and risks" in the proposed property transaction. (*Id*., ¶¶ 90-93.)

In order to state a claim for breach of fiduciary duty, a plaintiff must plead (1) the existence of a fiduciary duty; (2) breach of that duty; and (3) damages proximately caused by the breach. (See *Stanley v. Richmond* (1995) 35 Cal.App.4th 1070, 1086.) Old Republic contends that the Davises fail to state a claim for breach of fiduciary duty based on the performance of its duties as escrow holder because such a duty is limited to adherence to the escrow instructions and the Davises fail to identify any escrow instructions that were not followed.

"An escrow holder is an agent and fiduciary of the parties to the escrow." (*Amen v. Merced County Title Co.* (1962) 58 Cal.2d 528, 534.) "Absent clear evidence of fraud, an escrow holder's obligations are limited to compliance with the parties' instructions." (*Summit Financial Holdings, Ltd. v. Continental Lawyers Title Co.* (2002) 27 Cal.4th 705, 711, internal citations omitted.) "A breach of this fiduciary duty or the failure to exercise reasonable skill and diligence in carrying out the escrow instructions subjects the escrow holder to liability." (*Kirby v. Palos Verdes Escrow Co.* (1986) 183 Cal.App.3d 57, 64-65.) However, an escrow holder "has no duty to police the affairs of its depositors"; rather, an escrow holder's obligations are "limited to faithful compliance with [the depositors'] instructions." (*Claussen v. First American Title Guaranty Co.* (1986) 186 Cal.App.3d 429, 435-436.)

As Old Republic argues, the Davises cannot state a claim based on a duty to "investigate the [Property] transaction to protect them" and investigate the prior chain of title and grant deed in order to notify them of any potential "irregularities" or suspicions it may have had in the absence of allegations that the escrow instructions required Old Republic to do *exactly* the foregoing. (ACC, ¶¶ 11, 26-29, 31-34.) The Davises attempt to invoke the narrow exception to the limitation on the duties owed by an escrow holder by plainly pleading that there was "clear evidence of fraud" and thus Old Republic had a duty to further investigate the transaction. (*Id*., ¶ 89.) But the Court agrees with Old Republic that, as alleged, this exception is inapplicable to the claim. The Davises purchased the Property from My Thao Nguyen in an escrow closed by Old Republic and argue that irregularities in the *preceding* deeds in the chain of title constituted "clear evidence of fraud" which would require Old Republic to advise the Davises that My Thao Nguyen's title was fraudulent. (Opp. at 15:19-16:10.) This argument presupposes the existence of an escrow instruction that required it to analyze title improprieties in the earlier chain of title on behalf of the escrow parties – such an instruction is not alleged in the ACC to have existed. An escrow holder only has a duty to disclose knowledge gained *within* the scope of its escrow duties to those parties—as confirmed by the cases cited by the

Davises. (See, e.g., *Kirby v. Palos Verdes Escrow Co.* (1986) 183 Cal.App.3d 57, 64-65, disapproved by *Summit Financial Holdings, Ltd v. Continental Lawyers Title Co.* (2002) 27 Cal.4th 707, 714 [escrow holder has duty "to communicate to his principal knowledge acquired in the course of his agency with respect to material facts which might affect the principal's decision as to a pending transaction . . . ."] [emphasis added].) Thus, "if a title insurance company or underwritten title company is engaged to search title for purposes of issuing title insurance and to handle the escrow, any knowledge it obtains through a title search, of recorded documents that do not provide constructive notice, was not acquired within the scope of its escrow holder duties, and there is no duty to disclose." ((2 Cal. Miller & Starr Real Est. § 6:13 (4th ed. 2025) [citations omitted], citing *Rice v. Taylor* (1934) 220 Cal. 629, 636-637 [borrower, not escrow holder, ordered title search in which improperly indexed lien was discovered; escrow holder had no duty to disclose recorded document]; *Siegel v. Fid. Nat. Title Ins. Co.* (1996) 46 Cal.App.4th 1181, 1189-1190 [no duty by escrow holder or title insurer to disclose liens or other clouds on title unless performing as an abstractor].)

Here, the Davises do not plead the existence of any escrow instruction that, if performed, would have alerted Old Republic of "clear evidence of fraud," and per the authorities above, Old Republic had no duty to go outside of those instructions to look for such fraud or to "police" the transaction. The Davises nevertheless assert that courts have recognized liability against escrow holders even where they followed the instructions of the parties. (See Opp. at 15:11-18.) However, the authorities they cite do not support the assertion; in fact, in each of them a specific escrow instruction is identified as the factor determining whether an escrow duty existed in the first instance. (See *Colonial Sav. & Loan Ass'n v. Redwood Empire Title Co.* (1965) 236 Cal.App.2d 186, 196 [escrow holder not liable when it "carried out escrow and issued title insurance in accordance with the express instructions of appellant . . . ."]; *Spaziani v. Miller* (1963) 215 Cal.App.2d 667, 681-682 [remanding to trial court to determine if escrow holder followed instructions when instructions were "indefinite and uncertain"]; *Amen v. Merced Cnty. Title Co.* (1962) 58 Cal.2d 528, 531, 534-535 [analyzing statute of limitations based on claim that escrow holder failed to follow instructions to pay off debts in excess of $10,000].)

In sum, either as an underwritten title company or an escrow company, Old Republic owed no fiduciary duty to the Davises to investigate and disclose title defects. Consequently, no claim for breach of fiduciary duty has been stated and Old Republic's demurrer to the fifth cause of action on the ground of failure to state facts sufficient to constitute a cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

3. *"Lost Profits" (Sixth Cause of Action) and "Lost Earnings" (Seventh Cause of Action)*

In the sixth and seventh causes of action, the Davises repeat allegations from the preceding tort claims that they "relied on" representations by Old Republic "regarding title" when purchasing the Property "causing the lost profits" and "lost earnings." (ACC, ¶¶ 96-97, 103.) Old Republic maintains, and the Court agrees, that no cognizable claims have been stated because "lost profits" and "lost earnings" are remedies and not causes of action. A demurrer may be sustained where the "claim" being asserted is a remedy rather than a cause of action. (See *Ivanoff v. Bank of Am.* (2017) 9 Cal.App.5th 719, 734.) Accordingly, Old Republic's demurrer to the sixth and seventh causes of action on the ground of failure to state facts sufficient to constitute a cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

4. *Indemnification, Defense and Contribution (Eighth Cause of Action)*

In the eighth cause of action, the Davises plead that in the event a trier of fact determines they are liable to Plaintiff in the underlying action they will be exposed to liability and damages in excess of any actual fault which might be attributable to them. (ACC, ¶ 105.) Consequently, they seek indemnification, defense, and contribution from Old Republic and Defendant Sankey for an amount equal to the excess liability and damages which is properly attributable to the acts and omissions of Old Republic and Sankey. (*Id*., ¶ 107.)

The elements of a cause of action for indemnity are "(1) a showing of fault on the part of the indemnitor and (2) resulting damages to the indemnitee for which the indemnitor is contractually or equitably responsible." (*Great Western Drywall, Inc. v. Interstate Fire & Casualty Co.* (2008) 161 Cal.App.4th 1033, 1041.) Old Republic argues that no claim for indemnification, defense, and contribution has been stated because (1) the Davises do not identify a contract providing indemnification for "excess liability and damages" attributable to the acts and omissions of Old Republic (ACC, ¶¶ 104-107) and (2) they fail to plead a basis for equitable indemnity. The Court finds both of these arguments persuasive.

First, the Davises do not identify a contract with Old Republic that provides for the indemnification they seek. In fact, the only contract at issue, the subject title insurance policy, expressly precludes such damages because the title policy "does not constitute a representation that the contingency insured against [i.e. the discovery of a lien or encumbrance affecting title] will not occur." (*Fid. Title Ins. Co*., s*upra*, 215 Cal.App.3d at 1175; see ACC, Exhibit 8.)

Second, when it comes to equitable indemnity, "California law requires that, '[w]ith limited exception, there must be some basis for tort liability against the proposed indemnitor ... generally based on a duty owed to the underlying plaintiff.'" (*BFGC Architects Planners, Inc. v. Forcum/Mackey Constr., Inc.* (2004) 119 Cal.App.4th 848, 852-53, internal citations omitted.) Without any action sounding in tort, there is no basis for a finding of potential joint and several liability ... thereby precluding a claim for equitable indemnity." (*Stop Loss Ins. Brokers, Inc. v. Brown & Toland Med. Grp.* (2006) 143 Cal.App.4th 1036, 1040-41.) Here, for the reasons stated above, the Davises have failed to plead a basis for equitable indemnity because they cannot rely on the alleged misrepresentations in the preliminary report and title insurance policy.

In accordance with the foregoing, Old Republic's demurrer to the eighth cause of action on the ground of failure to state facts sufficient to constitute a cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

5. *Declaratory Relief (Ninth Cause of Action)*

In their remaining claim, the Davises allege that an actual controversy has arisen and now exists between themselves and Cross-Defendants with respect to their respective rights and obligations relating to the Property and a declaration is necessary so that the parties may ascertain these rights and obligations. (ACC, ¶¶ 109-110.) The Court agrees with Old Republic that no claim for declaratory relief has been stated against it because Old Republic is not alleged to have claimed any right, title or interest in the Property. The elements of a claim for declaratory relief are (1) a proper subject of declaratory relief and (2) "an actual controversy involving justiciable questions relating to the rights or obligations of the parties." (*Childhelp, Inc. v. City of Los Angeles* (2023) 91 Cal.App.5th 224, 235.) As Old Republic has made no claim on the Property, no "actual controversy" exists between it and the Davises. Therefore, Old Republic's demurrer to the ninth cause of action on the ground of failure to state facts sufficient to constitute a cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

The Court will prepare the final order.

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Case Name: *Valikhani v. FCA US LLC*
Case Number: 24CV454713

Plaintiff has brought the following motions:

1) Motion to Overrule Preamble and to Compel Further Responses to Special Interrogatories, Set 1;
2) Motion to Overrule Preamble and to Compel Further Responses to Form Interrogatories, Set 1;
3) Motion to Overrule Preamble and to Compel Further Responses to Requests for Production, Set 1.

The Court ordered the parties to meet and confer and to file a joint separate statement resolving and/or narrowing the issues in dispute on all three motions by July 23, 2025. (Minutes, 7/16/25; 7/18/25.) That did not occur. The Court orders that all three motions are CONTINUED to September 12, 2025, at 9 a.m. in Department 13. The parties are again ordered to conduct good faith, reasonable and meaningful meet and confers, either in person, by phone or video conference, to try to narrow the issues in these motions. If any issues remain after the meet and confer efforts, which may span several sessions, the parties shall file an updated joint statement no later than August 29, 2025, which shall identify the remaining items in dispute and the reasons why further responses should/should not be compelled.

Failure to comply with this order absent good cause will result in sanctions.

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